higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

# MARKING GUIDELINE

## NATIONAL CERTIFICATE (VOCATIONAL)

## FINANCIAL MANAGEMENT
## NQF LEVEL 2

## 15 MARCH 2019

**This marking guideline consists of 7 pages.**

Copyright reserved

## SECTION A

## QUESTION 1

| | | |
|---|---|---|
| 1.1 | 1.1.1 | D |
| | 1.1.2 | C |
| | 1.1.3 | B |
| | 1.1.4 | C |
| | 1.1.5 | D |
| | 1.1.6 | C |
| | 1.1.7 | C |
| | 1.1.8 | A |
| | 1.1.9 | B |
| | 1.1.10 | A |
| | 1.1.11 | D |
| | 1.1.12 | C |
| | 1.1.13 | A |
| | 1.1.14 | D |
| | 1.1.15 | B |

(15 × 1) (15)

| | | |
|---|---|---|
| 1.2 | 1.2.1 | C |
| | 1.2.2 | L |
| | 1.2.3 | A |
| | 1.2.4 | E |
| | 1.2.5 | I |
| | 1.2.6 | B |
| | 1.2.7 | F |
| | 1.2.8 | K |
| | 1.2.9 | G |
| | 1.2.10 | D |

(10 × 1) (10)
**[25]**

## QUESTION 2

| | | |
|---|---|---|
| 2.1 | 2.1.1 | True |
| | 2.1.2 | True |
| | 2.1.3 | True |
| | 2.1.4 | False |
| | 2.1.5 | False |
| | 2.1.6 | True |
| | 2.1.7 | False |
| | 2.1.8 | True |
| | 2.1.9 | False |
| | 2.1.10 | False |

(10 × 1) (10)

Copyright reserved 

| | | |
|---|---|---|
| 2.2 | 2.2.1 | Decrease |
| | 2.2.2 | Stale |
| | 2.2.3 | Numerically |
| | 2.2.4 | Early payment |
| | 2.2.5 | Input |
| | 2.2.6 | Cash payments |
| | 2.2.7 | Manual |
| | 2.2.8 | Exempt |
| | 2.2.9 | Net |
| | 2.2.10 | Debtors |
| | 2.2.11 | Decreases |
| | 2.2.12 | Source |
| | 2.2.13 | Assets |
| | 2.2.14 | Stocktake |
| | 2.2.15 | Duplicate |

(15 × 1) (15)
**[25]**

**TOTAL SECTION A: 50**

## SECTION B

## QUESTION 3

| | | | | |
|---|---|---|---|---|
| 3.1 | 3.1.1 | •Favourable<br>•Reason: The balance is a credit balance. | | (2) |
| | 3.1.2 | Increase | | (1) |
| | 3.1.3 | Tax levy✓ R 72✓<br>Cheque book fee✓ R108✓<br>Total = R180 | | (4) |
| | 3.1.4 | •Income<br>•Reason: The amount is reflected as CR. | | (2) |
| 3.2 | 3.2.1 | Increase | | |
| | 3.2.2 | Decrease | | |
| | 3.2.3 | Decrease | | |
| | 3.2.4 | Increase | (4 x 1) | (4) |
| 3.3 | 3.3.1 | R380 000✓ + R75 000✓ = R455 000 | | (2) |
| | 3.3.2 | The interest rate✓ that ASBA Bank will charge on the loan that TVET Traders took out with them is 8%✓ per year ✓ | | (3) |
| | 3.3.3 | R4 500✓ | | (1) |
| | 3.3.4 | Current assets✓ R75 000✓<br>Less: Current liabilities✓ R10 000✓<br>= R65 000 | | (4) |
| | 3.3.5 | 20 000✓ × 12,5%✓ × 6/12✓<br>= R1 250 | | (3) |
| | 3.3.6 | R10 000✓ + R50 000✓ = R60 000 | | (2) |
| | 3.3.7 | R400 000✓ + R28 000✓– R395 000✓ = R33 000 | | (3) |
| | 3.3.8 | R500✓ | | (1) |
| | 3.3.9 | Favourable✓.<br>It is indicated under the current assets✓ and not current liabilities. | | (2) |

3.4
- Safe-keeping of the business' money. ✓✓
- To help the business keep record of their money. ✓✓
- To enable the business to secure an overdraft
- To help the business to grow their money with interest.

**Or any other relevant** (Any 2 × 2) (4)

3.5
- Safekeeping of assets and documents. ✓
- Count stock regularly to confirm records and minimise shrinkage. ✓
- Maintain an asset register

**Or any relevant** (Any 2 × 1) (2)
**[40]**

## QUESTION 4

4.1 4.1.1 Input VAT: 325 000✓ × $\frac{15}{100}$✓ = R48 750 (2)

4.1.2 Output VAT: 548 500✓ × $\frac{15}{115}$ ✓ ✓ = R71 543 (3)

4.1.3 Output Vat – Input VAT ☑ = principle mark
71 543☑ – 48 750☑
R22 793✓
Payable✓ to SARS (4)

4.2 R200 × $\frac{150}{100}$ ✓ = R300✓

**OR**

(R200 × $\frac{50/100)}{}$ ✓ + R200✓ = R300 (2)

4.3 4.3.1 (R109,99 ✓+ R14,99✓ + R36,99✓) × 15% ✓
R161,97 × 15%
R24,30 (4)

4.3.2 R234,95✓ + R24,30☑
R259,25 (2)

4.3.3
- Apples✓
- Oranges
- Brown bread

(**Any ONE**) (1)

4.3.4
- Yes✓
- The VAT registration number appears on the slip. ✓

(2)
**[20]**

## QUESTION 5

5.1

***ABSA BANK*** 20-363-025
**107 Rissik Street**
**JOHANNESBURG**
**2000**

**Date:** 30 June 2018✓

**Pay/Betaal:** Makro✓

**the sum of**
**die bedrag van:** Five thousand four hundred rand only✓ R5 400✓

*A Nell*✓

*250055*20-363-025*031038832* (5)

5.2 No.✓ The cheque must be deposited into the bank account of the business.✓ (2)

5.3

Petty Cash

| | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| 2018 Feb | 01 | Balance | b/d | 1 000✓ | 00 | 2018 Feb | 28 | Total payments | PCJ | 986✓ | 00 |
| | 28 | Bank | CPJ | 986✓ | 00 | | | Balance | c/d | 1 000✓ | 00 |
| | | | | 1 986 | 00 | | | | | 1 986 | 00 |
| 2018 Mar | 01 | Balance | b/d | 1 000✓ | 00 | | | | | | |

(5)

5.4
- They serve as proof to auditors that the accounting entries have been done correctly.
- They are a permanent record of completed documents.
- They provide proof in case any queries should arise.

**Any other relevant** (3 x 1) (3)

5.5 5.5.1 (a) The receiver✓ – Office Suppliers✓

(b) The payer✓ – Thandile Traders✓ (4)

5.5.2 Bank (1)

**[20]**

Copyright reserved

## QUESTION 6

6.1 6.1.1

| | 2017 | 2018 |
|---|---|---|
| Insurance | 72 000✓ | 72 500✓ |
| Rent paid | 166 000✓ | 167 000✓ |
| Wages | 100 000✓ | 144 500✓ |
| Total expenses | 338 000 | 384 000 |

(6)

6.1.2

| | 2017 | 2018 |
|---|---|---|
| Gross profit | 376 000✓ | 411 000✓ |
| Add other incomes | 70 000✓ | 76 000✓ |
| | 446 000 | 487 000 |
| Less expenses | (338 000) ☑ | (384 000) ☑ |
| Net profit | 108 000 | 103 000 |

(6)

6.1.3
- Secure insurance with a cheaper provider or negotiate a reduced premium
- Negotiate with the landlord to pay lesser amount on rental if possible.
- Buy stock items in bulk to take advantage of discounts from suppliers. (Any 2 relevant × 2) (4)

6.2
- Checking deliveries for quantity and quality to ensure the correct quality and quantity of goods are delivered.
- Regular stocktaking to ensure that the stock recorded corresponds with the stock available.
- Searching employees to check if they are not stealing any goods.
- Surveillance secure storage facilities to ensure that anyone does not leave with an item not paid for.
- Effective store lay-out. (Any 2 relevant × 2) (4)

**[20]**

**TOTAL SECTION B: 100**
**GRAND TOTAL: 150**

Copyright reserved